Northwind Logistics, Inc.

BEARISH

INVESTMENT MEMO · Q3 FY2025 earnings call, held October 23, 2025 (fictional sample document).

Management cut FY25 revenue $200M and adjusted EPS $0.53 at the midpoint, withdrew the FY26 mid-87s operating ratio target, deferred a terminal and cut capex 12%, with tonnage worsening into October and no bottom called.

REVENUE 3Q FY25	ADJUSTED EPS 3Q FY25	OPERATING RATIO 3Q FY25	TONNAGE PER DAY 3Q FY25
$1.39B	**$1.71**	**89.8%**	**(4.3)%**
+0.7% y/y	(4.5)% y/y	+140 bps worse	Sept (5.6)%

SITUATION

Northwind cut FY25 revenue and adjusted EPS guidance and declined to reaffirm its FY2026 mid-87s operating ratio target. Revenue grew 0.7% to $1.39B entirely on yield; tonnage per day fell 4.3%, with September at (5.6)% and October tracking the same. The CEO said he owns that July guidance was too optimistic.

THE TWO CASES

BULL

1. **Last-mile turned profitable on a durable insourcing shift**

   Last-mile revenue was $204M, +19% y/y, with a 0.4% operating margin, the first profitable quarter ever; Whitfield said there was "nothing one-time in it."

   > A fast-growing segment stops diluting group margin and starts adding to it, with purchased transportation falling out of the cost base.

2. **Cost and capital taken out ahead of the downturn**

   Capex cut to $360M from $410M, headcount down 3% since June via attrition, low-density linehaul schedules reduced, San Antonio deferred; FCF $88M, net leverage 1.4x.

   > Lower fixed cost and a 1.4x balance sheet mean deleverage reverses into operating leverage when tonnage returns.

3. **Pricing discipline held through competitor discounting**

   Revenue per cwt ex-fuel +5.1% y/y while roughly $40M of annualized revenue was walked; Whitfield: the principle that below-cost freight "destroys value" holds.

   > Protects the yield base so margin recovery does not have to start from a repriced book when volume comes back.

BEAR

1. **FY2026 operating ratio target withdrawn, not just deferred**

   Lee: "we do not believe it's appropriate to reaffirm that target today"; the July path to a mid-87s FY26 OR is gone, with FY26 guidance pushed to January.

   > Removes the anchor for FY26 earnings power; the bridge from 89.8% back to the mid-87s no longer has a company-stated path.

2. **Structural wage-versus-yield gap that density can no longer close**

   Lee: driver wages near 6%, Q4 yield guided to ~4.5%, and "density is exactly what a volume decline takes away."

   > A ~150 bp cost-over-price gap compresses margin even if the cycle turns, unless productivity gains are found elsewhere.

3. **No visible volume bottom; Q4 assumption cut hard**

   Q4 embeds tonnage (4)% to (6)% versus July's flat-to-(2)%; October "running about in line with September," and Whitfield: "We are not calling a bottom."

   > Continued deleverage on a largely fixed terminal network keeps operating ratio under pressure into FY26.

CATALYSTS

FY2026 guidance, including reset operating ratio target	January
Q4 FY25 print against tonnage (4)-(6)%, yield ~4.5%	Q4 FY25 results
San Antonio terminal opening after deferral	Fiscal 2026

STILL TO ANSWER

1. Where does consensus sit versus the new $6.60-$6.85 adjusted EPS range, and how much of the FY26 mid-87s OR withdrawal was already in numbers?
2. How does Northwind's (4.3)% tonnage and +5.1% yield ex-fuel compare with LTL peers reporting the same quarter — is this share loss or industry demand?
3. Is the ~$40M of walked annualized revenue showing up in peer tonnage, and at what price did competitors take it?

WHAT WOULD CHANGE THE READ

- Tonnage per day improving to better than (4)% and off September's (5.6)% pace in the Q4 print, versus the guided (4)% to (6)%.
- January FY2026 guidance restoring an operating ratio target at or near the mid-87s, with yield ex-fuel held above the ~6% wage inflation rate.

IN THEIR WORDS

> *"Our July guidance assumed tonnage flat to down 2%, and we delivered down 4.3%... I own that the guidance was too optimistic on volume."*
>
> DANA WHITFIELD, PRESIDENT & CEO · Q&A

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